

UBSG: UBS Group AG

Operational Leverage at Scale · Margin Expansion · Earnings Re-Rating

Mom 12M	NTM P/E	EBIT Margin 26E	Fwd EPS CAGR 2Y
+39.6%	13.07x	26.5%	17.0%
Price return	vs 16.88x LTM	vs 18.9% in 2025	2-Year Forward
Value Rank	Growth Rank	ROE 2026E	Div. Yield
69/100	65/100	11.84%	2.7%
Top 20% in EU universe	Top 20% in EU universe	vs 8.80% LTM	+14.5% DPS YoY

THE QUANTITATIVE CASE FOR UBS

When we think of UBS, the image is often that of the classic, boring global wealth management giant. But forward-looking data tells a completely different story: one of margin expansion and earnings growth that challenges traditional banking sector conventions. The market has already begun pricing in this transformation, rewarding the stock with a **+39.6% return over the past year**. Yet analysing the forward estimates, the real potential lies in the expected operating leverage — much of which may not yet be fully reflected in consensus models. Our quantitative model places UBSG in the **top 20% of the European universe** on both Value and Growth dimensions.

1 · Margin and Earnings Explosion

The operational leverage story at UBS is driven by the ongoing integration of Credit Suisse and aggressive cost discipline across its global platform. The numbers are striking.

- **Margin Step-Change:** EBIT margins expanding from 18.9% to **26.5%** — a 760bps improvement in a single year.
- **Earnings Inflection:** GAAP Net Income **+36.1% YoY** for FY2026 — growth rates typically associated with technology, not global banking.
- **Compounding EPS:** Forward EPS 2-Year CAGR of **17.0%** — compounding at a pace that will force a structural re-rating if sustained.

2 · Acceleration of Profitability

Return on Equity is the critical metric for any large-cap financial institution. UBS is projecting a meaningful structural step-change.

- **ROE Threshold Crossed:** ROE jumping from 8.80% to **11.84%** — crossing the threshold where wealth management platforms command premium multiples.
- **Scale Advantage:** With a market cap exceeding CHF 112 billion, this ROE expansion represents a genuinely material improvement in capital efficiency at scale.
- **Peer Context:** European banking leaders (HSBC, BNP) trade at 8–10x forward earnings with comparable ROE profiles — UBS at 13x implies a justified premium for its integrated wealth management franchise.

3 · Valuation and Shareholder Returns

Despite a strong twelve-month run, the valuation profile remains attractive on a forward basis.

■ **Multiple Compression:** NTM P/E of **13.07x** rapidly compressing from 16.88x LTM — earnings growing faster than the share price.

■ **Growing Income Stream:** Dividend Yield of **2.7%** with **+14.5% DPS growth** projected for 2026 — credible and rising.

■ **Three-Way Tailwind:** The combination of multiple compression + earnings growth + dividend growth creates a compelling total return profile for a 12–24 month horizon.

The Bottom Line

UBS is proving that operational efficiency and global scale integration can generate growth rates usually reserved for other sectors. Our quantitative Value & Growth scoring models flag UBSG in the top 20% of the European universe — reflecting the earnings momentum, ROE trajectory, and improving valuation discipline. The risk/reward is most compelling for growth-oriented mandates with a 12–24 month horizon, where the full Credit Suisse integration benefit is expected to materialise.

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